UNION BUDGET, FISCAL POLICY AND DEFICIT INDICATORS

BUDGET RECEIPT FORK → EXPENDITURE CLASSIFICATION → DEFICIT IDENTITY BOARD → EFFECTIVE MEASURES → ESTIMATE-VINTAGE RAIL → CONSTITUTIONAL DOCUMENT STACK

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure: the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◆ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

00

STAGE 00

BUDGET RECEIPT FORK

BUDGET RECEIPT FORK | REVENUE RECEIPT | NO LIABILITY | NO ASSET REDUCTION | CAPITAL RECEIPT | LIABILITY OR ASSET REDUCTION | DEBT CAPITAL RECEIPT | LOAN RECOVERY

REVENUE RECEIPT → no liability / no asset reduction

CAPITAL RECEIPT → liability or asset reduction → BORROWING → debt capital receipt → DISINVESTMENT / LOAN RECOVERY → non-debt capital receipt

CORE CLAIM
- REVENUE RECEIPT → no liability / no asset reduction
- CAPITAL RECEIPT → liability or asset reduction

MECHANISM
- BORROWING → debt capital receipt
- DISINVESTMENT / LOAN RECOVERY → non-debt capital receipt

CONSEQUENCE / LIMIT
- MUST REMEMBER: The Union Budget records receipts and expenditure under revenue/capital...
- REVENUE RECEIPT → no liability / no asset reduction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: The Union Budget records receipts and expenditure under revenue/capital.

01

STAGE 01

EXPENDITURE CLASSIFICATION

EXPENDITURE CLASSIFICATION | REVENUE EXPENDITURE | CURRENT SERVICE | CAPITAL EXPENDITURE | ASSET OR LIABILITY REDUCTION | ACCOUNTING CLASS IS NOT A MORAL VERDICT | QUALITY DEPENDS ON DESIGN AND OUTCOMES

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
REVENUE EXPENDITURE → current service / transfer	ACCOUNTING CLASS is not a moral verdict	REVENUE EXPENDITURE → current service / transfer
CAPITAL EXPENDITURE → asset or liability reduction	QUALITY depends on design and outcomes	CAPITAL EXPENDITURE → asset or liability reduction

CORE CLAIM
- REVENUE EXPENDITURE → current service / transfer
- CAPITAL EXPENDITURE → asset or liability reduction

MECHANISM
- ACCOUNTING CLASS is not a moral verdict
- QUALITY depends on design and outcomes

CONSEQUENCE / LIMIT
- REVENUE EXPENDITURE → current service / transfer
- CAPITAL EXPENDITURE → asset or liability reduction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCOUNTING CLASS is not a moral verdict; QUALITY depends on design and outcomes.

02

STAGE 02

DEFICIT IDENTITY BOARD

DEFICIT IDENTITY BOARD | REVENUE DEFICIT | RE - RR | FISCAL DEFICIT | TOTAL EXPENDITURE - NON-DEBT RECEIPTS | PRIMARY DEFICIT | FD - INTEREST | KEEP FLOW, PERIOD AND GOVERNMENT PERIMETER

REVENUE DEFICIT = RE - RR

FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS → PRIMARY DEFICIT = FD - INTEREST → KEEP flow, period and government perimeter

CORE CLAIM
- REVENUE DEFICIT = RE - RR
- FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS

MECHANISM
- PRIMARY DEFICIT = FD - INTEREST
- KEEP flow, period and government perimeter

CONSEQUENCE / LIMIT
- REVENUE DEFICIT = RE - RR
- FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FISCAL DEFICIT = TOTAL EXPENDITURE - NON-DEBT RECEIPTS.

03

STAGE 03

EFFECTIVE MEASURES

EFFECTIVE MEASURES | REVENUE DEFICIT - CAPITAL-ASSET GRANTS | EFFECTIVE CAPEX | CENTRE CAPEX + CAPITAL-ASSET GRANTS | TRANSFER ACCOUNTING IS REFINED | OUTCOME QUALITY STILL NEEDS VERIFICATION

CORE CLAIM
- ERD = REVENUE DEFICIT - CAPITAL-ASSET GRANTS
- EFFECTIVE CAPEX = CENTRE CAPEX + CAPITAL-ASSET GRANTS

MECHANISM
- TRANSFER accounting is refined
- OUTCOME quality still needs verification

CONSEQUENCE / LIMIT
- ERD = REVENUE DEFICIT - CAPITAL-ASSET GRANTS
- EFFECTIVE CAPEX = CENTRE CAPEX + CAPITAL-ASSET GRANTS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EFFECTIVE CAPEX = CENTRE CAPEX + CAPITAL-ASSET GRANTS.

04

STAGE 04

ESTIMATE-VINTAGE RAIL

ESTIMATE-VINTAGE RAIL | BUDGET ESTIMATE | REVISED ESTIMATE | UPDATED IN-YEAR EXPECTATION | REALISED ACCOUNT | NEVER COMPARE WITHOUT LABELS

BUDGET ESTIMATE → authorisation / projection → REVISED ESTIMATE → updated in-year expectation → ACTUAL → realised account → NEVER compare without labels

CORE CLAIM
- BUDGET ESTIMATE → authorisation / projection
- REVISED ESTIMATE → updated in-year expectation

MECHANISM
- ACTUAL → realised account
- NEVER compare without labels

CONSEQUENCE / LIMIT
- BUDGET ESTIMATE → authorisation / projection
- REVISED ESTIMATE → updated in-year expectation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACTUAL → realised account; NEVER compare without labels.

05

STAGE 05

CONSTITUTIONAL DOCUMENT STACK

CONSTITUTIONAL DOCUMENT STACK | ARTICLE 112 | ANNUAL FINANCIAL STATEMENT | FRBM ACT | MEDIUM-TERM FISCAL DISCIPLINE | MACRO ASSUMPTIONS | PARLIAMENT + CAG | AUTHORISATION AND SCRUTINY

ARTICLE 112 → Annual Financial Statement → FRBM ACT → medium-term fiscal discipline → MEFS → macro assumptions → PARLIAMENT + CAG → authorisation and scrutiny

CORE CLAIM
- ARTICLE 112 → Annual Financial Statement
- FRBM ACT → medium-term fiscal discipline

MECHANISM
- MEFS → macro assumptions
- PARLIAMENT + CAG → authorisation and scrutiny

CONSEQUENCE / LIMIT
- ARTICLE 112 → Annual Financial Statement
- FRBM ACT → medium-term fiscal discipline

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MEFS → macro assumptions; PARLIAMENT + CAG → authorisation and scrutiny.

06

STAGE 06

DEBT-DYNAMICS CHAIN

DEBT-DYNAMICS CHAIN | PRIMARY BALANCE + INTEREST | FISCAL DEFICIT | DEBT STOCK | FUTURE INTEREST FEEDBACK

PRIMARY BALANCE + INTEREST → FISCAL DEFICIT → DEBT STOCK → FUTURE INTEREST FEEDBACK

CORE CLAIM
- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

MECHANISM
- DEBT STOCK
- FUTURE INTEREST FEEDBACK

CONSEQUENCE / LIMIT
- PRIMARY BALANCE + INTEREST
- FISCAL DEFICIT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRIMARY BALANCE + INTEREST; FISCAL DEFICIT; DEBT STOCK; FUTURE INTEREST FEEDBACK.

07

STAGE 07

CROWDING FORK

CROWDING FORK | BORROWING DURING TIGHT FINANCE | SAVINGS PRESSURE | CROWDING OUT | CAPEX REMOVES BOTTLENECKS | CROWDING IN

BORROWING DURING TIGHT FINANCE

rates / savings pressure → crowding out → CAPEX REMOVES BOTTLENECKS → productivity / demand → crowding in

CORE CLAIM
- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

MECHANISM
- CAPEX REMOVES BOTTLENECKS
- productivity / demand → crowding in

CONSEQUENCE / LIMIT
- BORROWING DURING TIGHT FINANCE
- rates / savings pressure → crowding out

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CAPEX REMOVES BOTTLENECKS; productivity / demand → crowding in.

08

STAGE 08

HIDDEN-RISK PERIMETER

HIDDEN-RISK PERIMETER | HEADLINE DEFICIT | EXTRA-BUDGETARY BORROWING | DELAYED PAYMENTS | WIDER FISCAL RISK

HEADLINE DEFICIT

EXTRA-BUDGETARY BORROWING → DELAYED PAYMENTS → wider fiscal risk

CORE CLAIM
- HEADLINE DEFICIT
- EXTRA-BUDGETARY BORROWING

MECHANISM
- DELAYED PAYMENTS → wider fiscal risk
- HEADLINE DEFICIT

CONSEQUENCE / LIMIT
- EXTRA-BUDGETARY BORROWING
- DELAYED PAYMENTS → wider fiscal risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXTRA-BUDGETARY BORROWING; DELAYED PAYMENTS → wider fiscal risk.

09

STAGE 09

STATE FISCAL QUALITY

STATE FISCAL QUALITY | OWN-REVENUE MOBILISATION | EXPENDITURE QUALITY | FISCAL PRUDENCE | DEBT SUSTAINABILITY | CLOSE DISTINCTION | ALLOCATION IS NOT RELEASE OR EXPENDITURE, CAPITAL RECEIPT IS

OWN-REVENUE MOBILISATION → EXPENDITURE QUALITY → FISCAL PRUDENCE → DEBT SUSTAINABILITY → CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not

CORE CLAIM
- OWN-REVENUE MOBILISATION
- EXPENDITURE QUALITY

MECHANISM
- FISCAL PRUDENCE
- DEBT SUSTAINABILITY

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not...
- OWN-REVENUE MOBILISATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Allocation is not release or expenditure, capital receipt is not.

10

STAGE 10

BUDGET 2026-27 STATUS CARD

BUDGET 2026-27 STATUS CARD | 2026-27 BE | FISCAL DEFICIT 4.3% GDP | CAPEX RS 12.22 LAKH CRORE | 2025-26 RE | FISCAL DEFICIT 4.4% GDP | RE, NOT ACTUALS | EVIDENCE LIMIT

2026-27 BE → fiscal deficit 4.3% GDP

2026-27 BE → capex Rs 12.22 lakh crore → 2025-26 RE → fiscal deficit 4.4% GDP → STATUS → BE / RE, not Actuals

CORE CLAIM
- 2026-27 BE → fiscal deficit 4.3% GDP
- 2026-27 BE → capex Rs 12.22 lakh crore

MECHANISM
- 2025-26 RE → fiscal deficit 4.4% GDP
- STATUS → BE / RE, not Actuals

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE,...
- 2026-27 BE → fiscal deficit 4.3% GDP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use one Budget year and document stage—BE,.

11

STAGE 11

FISCAL-POLICY ANSWER SPINE

FISCAL-POLICY ANSWER SPINE | DEFINE IDENTITIES AND COVERAGE | CHECK BE | ACTUAL VINTAGE | ASSESS COMPOSITION AND MULTIPLIER | CONCLUDE ON DEBT PATH AND TRANSPARENCY

DEFINE identities and coverage → CHECK BE / RE / Actual vintage → ASSESS composition and multiplier → CONCLUDE on debt path and transparency

CORE CLAIM
- DEFINE identities and coverage
- CHECK BE / RE / Actual vintage

MECHANISM
- ASSESS composition and multiplier
- CONCLUDE on debt path and transparency

CONSEQUENCE / LIMIT
- DEFINE identities and coverage
- CHECK BE / RE / Actual vintage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ASSESS composition and multiplier; CONCLUDE on debt path and transparency.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT | FISCAL IMPULSE DEPENDS ON CHANGES IN THE CYCLICALLY RELEVANT | DEBT SUSTAINABILITY DEPENDS ON THE INTEREST-GROWTH DIFFERENTIAL, PRIMARY BALANCE | PUBLIC CAPEX CAN CROWD IN PRIVATE INVESTMENT WHEN IT | OFF-BUDGET BORROWING AND GUARANTEES CAN OBSCURE THE FULL PUBLIC-SECTOR | AUTOMATIC STABILISERS WORK WITHOUT FRESH DECISIONS, WHILE DISCRETIONARY POLICY | FISCAL RULES NEED CREDIBLE ESCAPE CLAUSES, TRANSPARENT ACCOUNTING AND | MINISTRY OF FINANCE

OPTIONAL SOURCE DEPTH
- CAUTION: Fiscal impulse depends on changes in the cyclically relevant stance, not only the
- CAUTION: Debt sustainability depends on the interest-growth differential, primary balance,
- CAUTION: Public capex can crowd in private investment when it removes infrastructure bottlenecks
- CAUTION: Off-budget borrowing and guarantees can obscure the full public-sector risk position.

ADVANCED DEBATE
- CAUTION: Automatic stabilisers work without fresh decisions, while discretionary policy is
- CAUTION: Fiscal rules need credible escape clauses, transparent accounting and a medium-term
- Ministry of Finance: prepares the Union Budget, borrowing programme and fiscal
- Parliament: authorises taxation and expenditure through constitutional budget

LEGACY / NUANCE
- CAG and parliamentary financial committees: audit and scrutinise public spending and
- FRBM framework and fiscal councils or analytical bodies: provide medium-term
- CAUTION: Borrowing to complete a productive transport network can expand future capacity;
- CAUTION: A grant to a state used to create a capital asset enters effective capital expenditure

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels